



NBZ RESEARCH
Institutional Digital Asset Coverage

FALCON FINANCE

\$FF · Institutional Research Report

A universal collateralization protocol converting stablecoins, blue-chip crypto, and tokenized real-world assets into a yield-bearing synthetic dollar — evaluated across technology, tokenomics, funding, market performance, ecosystem traction, and forward-looking risk.

TICKER	SECTOR	CHAIN	REPORT DATE
FF	Synthetic Dollar / Collateralization	Multi-chain (Ethereum + others)	August 2026



SECTION 01

Project Overview

Falcon Finance (FF) is a decentralized finance protocol providing what it calls universal collateralization infrastructure — a system that lets users deposit a wide range of liquid assets (stablecoins, blue-chip crypto like BTC and ETH, altcoins, and tokenized real-world assets such as U.S. Treasuries) as collateral to mint USDf, an overcollateralized synthetic dollar. USDf can then be staked into sUSDf, a yield-bearing token whose value grows over time through delta-neutral trading strategies, funding-rate arbitrage, and staking rewards, rather than relying on a single yield source.

The protocol's core thesis addresses a specific DeFi inefficiency: that asset appreciation and liquidity have traditionally been mutually exclusive, forcing holders to either sell appreciating assets for cash or leave capital idle. Falcon Finance's model lets users retain upside exposure to their underlying collateral while still accessing stable, yield-bearing liquidity. Development began with support from institutions including DWF Labs in late 2024, with public mainnet launch and the debut of USDf/sUSDf following in April 2025.

\$0.0997 PRICE (SNAPSHOT)	\$305.46M MARKET CAP	\$996.60M FULLY DILUTED VALUATION	#102 MARKET RANK	+10.2% 24H MOVE (WHITEBIT)
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Snapshot

Metric	Value
Token Ticker	FF
Category	Synthetic Dollar / Universal Collateralization Protocol
Circulating Supply	3.06B FF
Total Supply / Max Supply	10.00B FF
24h Trading Volume	\$40.56M
All-Time High	\$0.6713
All-Time Low	\$0.0527
Public Mainnet Launch	April 2025
Website	app.falcon.finance/transparency
Whitepaper / Docs	docs.falcon.finance

FF is trading roughly 85% below its all-time high but nearly double its all-time low, with the market snapshot in this report showing a broad, uniform rally (+10%) across nearly every major exchange — notable for a token with over \$300M in market cap and a near-fully-unlocked circulating supply (see Section 4).

SECTION 02

Problem & Solution

The Problem

Crypto holders who want liquidity have historically faced a binary choice: sell appreciating assets and lose future upside, or take on centralized lending counterparty risk. Existing synthetic dollar protocols typically support only a narrow set of collateral types, and most yield-bearing stablecoin designs rely on a single strategy (like basis-spread arbitrage), leaving them exposed if that one strategy underperforms or breaks down in adverse market conditions.

The Solution

- **Universal Collateralization** — Falcon Finance accepts stablecoins, major cryptocurrencies (BTC, ETH, SOL), select altcoins, and tokenized real-world assets like U.S. Treasuries as eligible collateral, broadening the base far beyond typical single-asset synthetic dollar designs.
- **USDf** — an overcollateralized synthetic dollar minted 1:1 against stablecoin deposits, with non-stable assets (BTC, ETH, and others) requiring additional overcollateralization to absorb price volatility.
- **sUSDf** — a yield-bearing token created by staking USDf, appreciating through diversified, institutional-grade strategies including delta-neutral arbitrage, funding-rate interest, and proof-of-stake rewards, rather than a single yield source.
- **Institutional-grade risk controls** — independent custodians using multi-signature approvals and multi-party computation (MPC), alongside mandatory KYC/AML for minting and redemption, and a live transparency dashboard with regular independent audits.
- **FF token utility** — governance voting on protocol upgrades, staking for USDf yield boosts and "Falcon Miles" loyalty points, fee discounts, and a buyback-and-burn mechanism tying protocol revenue directly to token value (see Section 4).

■ SECTION 03

Technology & Architecture

Falcon Finance's architecture centers on a dual-token system — USDf and sUSDf — supported by minting and redemption mechanics and a dedicated risk management framework. When a user deposits eligible collateral, the protocol mints USDf against it: stablecoin deposits mint close to 1:1, while non-stablecoin collateral (BTC, ETH, and approved altcoins) requires overcollateralization, with the framework designed to ensure collateral value consistently exceeds outstanding USDf issuance across varying market conditions.

Staked USDf converts to sUSDf, which accrues value through a diversified strategy mix rather than a single yield source — combining delta-neutral arbitrage (market-neutral basis trades), funding-rate interest capture, and proof-of-stake rewards from underlying collateral. This diversification is positioned as a structural advantage over synthetic dollar designs that depend entirely on one strategy, such as pure basis-spread arbitrage, which can compress or turn negative during certain market regimes. Security operates through independent custodians using multi-signature and MPC technology, rather than the protocol unilaterally controlling collateral.

Core Components

Component	Function
USDf	Overcollateralized synthetic dollar minted against diverse eligible collateral
sUSDf	Yield-bearing token created by staking USDf; appreciates via diversified strategies
Universal Collateral Engine	Accepts stablecoins, BTC/ETH/altcoins, and tokenized RWAs as collateral
Custody & Risk Framework	Independent custodians, multi-sig/MPC security, mandatory KYC/AML

Component	Function
Transparency Dashboard	Live, public accounting of collateral and protocol reserves

The mandatory KYC/AML requirement for minting and redemption is a notable design choice that differentiates Falcon Finance from many permissionless DeFi protocols — a trade-off that likely improves institutional comfort and regulatory positioning but reduces the protocol's accessibility to fully anonymous or non-compliant users.

■ SECTION 04

Tokenomics & Allocation

FF has a hard-capped max supply of 10,000,000,000 tokens. As of this report's data pull, circulating supply stood at 3.06B FF (roughly 30.6% of max supply), with unlocked market cap (\$305.01M) nearly identical to total market cap (\$305.46M) — indicating that almost all currently circulating tokens are genuinely liquid rather than nominally counted but restricted. The gap to fully diluted valuation (\$996.60M, roughly 3.3x current market cap) reflects the substantial remaining supply still to enter circulation over time.

Allocation Breakdown

Allocation Category	% of Supply
Ecosystems	30.00%
Foundation	24.00%
Team	20.00%
Marketing	8.20%
Airdrop PUBLIC	5.00%
Liquidity	5.00%
Investors	4.50%
Airdrop BETA	2.00%
Pre-TGE Sale & Marketing	1.30%

FF's allocation stands out for an unusually low combined Investor category (4.50%) relative to most projects in this coverage series, where investor allocations of 10–25% are typical — a structure that significantly limits near-term insider sell pressure from venture backers specifically, though the 20% Team and 24% Foundation allocations still represent meaningful supply that will enter circulation over time. A portion of protocol revenue — reported at roughly 20% of platform fees — is directed toward buying back and burning FF tokens or distributing them as staking rewards to long-term holders, creating a direct link between protocol usage and token scarcity that is worth monitoring for consistency of execution over time.

■ SECTION 05

Funding & Investors

Falcon Finance has raised approximately \$20M in disclosed venture funding, alongside a separate \$16M contribution from M2, Monarq, and several high-net-worth individuals, and a \$10M strategic round from World Liberty Financial in



2025. A pre-TGE Buildpad presale for the FF token raised \$4M and was reported to be 28x oversubscribed, with \$108.8M in excess demand ultimately returned to contributors who could not be allocated tokens — a strong signal of retail and community demand ahead of the token launch.

Investor Tiers

Tier	Notable Backers	Type
Tier 2	DWF Labs	Venture
Tier 3	Cypher Capital	Venture
Other	M2 (Lead)	Exchange
Other	World Liberty Financial	Corporation

DWF Labs' early support during the protocol's incubation phase (helping fund development of the delta-neutral hedging strategy and multi-asset collateral contracts) mirrors its involvement in several other projects in this coverage series, underscoring the firm's broad footprint across the current market cycle. World Liberty Financial's participation is a notable strategic signal given that organization's high public profile, though — as with any single strategic investor — its presence should be weighed as one data point among several rather than a standalone endorsement.

SECTION 06

Team

Falcon Finance's leadership team is fully named and publicly disclosed, with founding partner Andrei Grachev leading a team that includes multiple partners and functional leads spanning growth, business development, and operations.

Name	Role
Andrei Grachev	Founding Partner
Heng Yu Lee	Partner
Lingling Jiang	Partner
Fiona Ma	VP, Growth
Richard Go	Team Member

The team's structure — multiple named partners rather than a single founder-CEO model — combined with the establishment of a separate FF Foundation for independent governance oversight, reflects a deliberate institutional-style setup intended to reinforce transparency and long-term accountability beyond any single individual.

SECTION 07

Market Performance & Liquidity

FF's 24-hour trading range at the time of this report spanned \$0.08884 to \$0.09987, with the token up roughly 10% across nearly every major exchange in the same session — a broad, uniform move consistent with a market-wide catalyst. FF currently trades roughly 85% below its all-time high of \$0.6713 (set shortly after launch) but nearly double its all-time low of \$0.0527, suggesting the token has found a trading range well off both extremes.

Exchange Liquidity (24h volume by venue)

Exchange	Pair	24h Volume	Price	24h %
WhiteBIT	FF/USDT	\$1.14M	\$0.1002	+10.2%
DigiFinex	FF/USDT	\$803.83K	\$0.1005	+10.9%
Bitget	FF/USDT	\$587.94K	\$0.1001	+10.1%
Bittrue	FF/USDT	\$572.57K	\$0.1006	+10.6%
Lbank	FF/USDT	\$373.59K	\$0.09985	N/A
Hotcoin	FF/USDT	\$350.23K	\$0.1002	+10.1%
BingX	FF/USDT	\$318.15K	\$0.1000	+9.93%
Binance	FF/USDC	\$288.55K	\$0.1004	+10.3%
Phemex	FF/USDT	\$218.83K	\$0.1009	+10.8%

Liquidity is fragmented across a large number of small-to-mid-tier exchanges with no single venue representing a dominant share — the largest venue (WhiteBIT) captures roughly \$1.1M of the reported 24h volume shown here, a relatively modest figure for a token with over \$300M in market cap. Investors executing larger orders should be mindful of comparatively thin depth relative to the token's overall market capitalization.

■ SECTION 08

Ecosystem & Competitive Landscape

Ecosystem Traction

- USDf circulating supply has reached \$1.8 billion with the protocol's total value locked (TVL) around \$1.9 billion as of recent disclosures — substantial scale for a synthetic dollar protocol roughly 16 months post-launch.
- During its closed beta period (Q4 2024–early 2025), TVL rapidly surpassed \$200M even before public mainnet launch, suggesting early product-market fit ahead of the broader token distribution.
- The protocol maintains a live, public transparency dashboard (<app.falcon.finance/transparency>) alongside regular independent audits — a meaningful trust signal for a protocol handling billions in collateral.
- "Falcon Miles" loyalty points, launched alongside the April 2025 public mainnet, reward ongoing platform engagement and are tied into the broader FF token utility structure.

Competitive Landscape

Falcon Finance competes in the rapidly growing synthetic/yield-bearing dollar category alongside protocols such as Ethena (USDe), MakerDAO's DAI ecosystem, and other overcollateralized stablecoin designs. Falcon Finance's differentiation is its "universal collateralization" breadth — accepting tokenized real-world assets and a wider range of crypto collateral than many single-strategy competitors — combined with a diversified, multi-strategy yield engine for sUSDf rather than reliance on a single basis-trade mechanism. Whether that breadth translates into a durable competitive advantage will likely depend on execution quality across multiple simultaneous strategies rather than mastery of just one, a structurally more complex operating model than narrower single-strategy peers.

■ SECTION 09

Roadmap & Outlook

Falcon Finance's development followed a clear staged path: protocol incubation and closed beta in Q4 2024–early 2025 (with DWF Labs support), public mainnet launch and Falcon Miles introduction in April 2025, and continued fundraising (World Liberty Financial's \$10M strategic round) and token launch activity through 2025 and into 2026. The establishment of the independent FF Foundation signals an intent toward long-term regulatory-conscious governance rather than purely team-controlled decision making.

- Watch for continued growth in USDf circulating supply and protocol TVL as the clearest read on sustained product-market fit beyond the initial post-launch period.
- Watch for the pace and consistency of the FF buyback-and-burn mechanism, since its stated 20% revenue allocation is only as meaningful as its actual sustained execution over multiple quarters.
- Watch for expansion of eligible collateral types, particularly additional tokenized real-world assets, which would reinforce Falcon Finance's core universal-collateralization differentiation.
- Watch for regulatory developments given the protocol's KYC/AML-gated design and strategic relationship with World Liberty Financial, both of which position Falcon Finance closer to compliance-forward DeFi than fully permissionless competitors.

■ SECTION 10

Bullish Case, Bearish Case & Risk Factors

▲ BULLISH CASE

- + Broad, genuine collateral universality (stablecoins, BTC/ETH/altcoins, tokenized RWAs) differentiates Falcon Finance from narrower single-collateral synthetic dollar competitors.
- + Diversified sUSDf yield engine (delta-neutral arbitrage, funding-rate interest, PoS rewards) reduces dependence on any single strategy remaining profitable across all market conditions.
- + Substantial disclosed scale — \$1.8B in USDf circulating supply and ~\$1.9B in TVL — for a protocol roughly 16 months post-mainnet-launch.
- + Unusually low Investor token allocation (4.50%) relative to most projects in this coverage series, limiting near-term VC-driven sell pressure specifically.
- + Institutional-grade risk posture (independent custodians, multi-sig/MPC, mandatory KYC/AML, live transparency dashboard, independent audits) positions the protocol favorably for institutional and regulatory scrutiny.

▼ BEARISH CASE

- Token trades roughly 85% below its all-time high, reflecting a substantial post-launch drawdown despite continued protocol growth in USDf/TVL terms.
- Combined Team + Foundation allocation (44% of max supply) still represents a large pool of tokens not yet fully accounted for in circulating supply, a meaningful medium-term consideration.
- Trading liquidity is fragmented across many small-to-mid-tier exchanges with no dominant venue, relatively thin for a token with over \$300M in market cap.
- Mandatory KYC/AML requirements, while favorable for institutional and regulatory positioning, reduce accessibility versus fully permissionless DeFi competitors and represent a different risk profile (data privacy, jurisdictional dependency) than anonymous protocols.
- The multi-strategy yield model for sUSDf, while diversifying risk, is also structurally more complex to execute consistently well across all strategies simultaneously than a narrower single-strategy competitor.

Key Risk Factors



Risk Factor	Severity	Description
Post-Launch Drawdown	High	FF trades roughly 85% below its all-time high despite continued protocol-level growth in USDf and TVL.
Collateral & Peg Risk	Medium	Overcollateralization framework must hold across varied and volatile collateral types (BTC, ETH, altcoins, RWAs) to preserve the USDf peg.
Strategy Execution Risk	Medium	sUSDf yield depends on multiple simultaneous strategies (delta-neutral arbitrage, funding rates, staking) performing consistently well.
Regulatory / Compliance Dependency	Medium	Mandatory KYC/AML and ties to entities like World Liberty Financial create jurisdictional and regulatory-policy dependencies.
Token Overhang	Medium	44% combined Team + Foundation allocation remains a significant pool of supply not yet fully circulating.
Liquidity Fragmentation	Medium	Trading volume is spread thin across many small-to-mid exchanges relative to the token's market cap.
Macro / Crypto Beta	Medium	As a small/mid-cap token tied to broader synthetic-dollar and DeFi sentiment, FF remains correlated with wider crypto market cycles.

■ SECTION 11

Investment Potential and Risks

Falcon Finance occupies a credible and differentiated position within the fast-growing synthetic dollar category: genuine collateral universality, a diversified multi-strategy yield engine, substantial disclosed scale (\$1.8B+ in USDf, ~\$1.9B TVL), and an unusually low investor token allocation that limits near-term VC-driven sell pressure specifically. Its institutional-style governance setup (independent Foundation, named multi-partner leadership, mandatory compliance controls) also positions it favorably for institutional and regulatory engagement relative to more permissionless competitors.

Against that, FF's ~85% drawdown from all-time highs reflects a real disconnect between protocol-level growth and token price performance that prospective holders should weigh carefully — strong underlying metrics do not automatically translate into token appreciation, particularly with 44% of supply still concentrated in Team and Foundation allocations. The protocol's more complex multi-strategy yield model and KYC/AML-gated design are genuine structural trade-offs rather than unambiguous positives, carrying their own execution and compliance-dependency risks respectively.



NBZ RESEARCH VERDICT

Rating: MODERATE RISK — Fundamentals Ahead of Price Action

Falcon Finance presents one of the more institutionally-postured profiles in this coverage series — genuine collateral breadth, diversified yield generation, and disclosed multi-billion-dollar protocol scale — but the token's substantial drawdown from all-time highs and continued Team/Foundation supply overhang mean the market has not yet rewarded that underlying growth with commensurate price performance. NBZ Research views FF as a fundamentals-interesting but price-lagging asset best suited to investors who want direct exposure to the synthetic-dollar/RWA-collateralization thesis and are prepared to evaluate protocol metrics (USDf supply, TVL, buyback execution) independently of near-term token price action.

This report reflects publicly available information as of the stated date and is not financial advice. DYOR. Token unlock schedules and roadmaps are subject to change — verify against docs.falcon.finance and app.falcon.finance/transparency.

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